

Project Spark: Acquisition & Recapitalization Memo

Sterling Oak Capital Partners • August 29, 2024

INVESTMENT COMMITTEE BRIEF: PROJECT SPARK (ACQUISITION MEMO)

Date: August 29, 2024

Sponsor: Sterling Oak Capital Partners (Fund IV)

Target: OmniSignal Sensors Ltd.

Transaction Type: Majority Recapitalization / LBO

Transaction Architecture & Valuation:

Sterling Oak Capital proposes to acquire a 68.0% controlling equity stake in OmniSignal Sensors Ltd. for an Enterprise Value (EV) of \$82.0 million, representing an 8.9x multiple on LTM Adjusted EBITDA of \$9.2 million. The transaction will be funded through \$36.0 million in senior secured term debt (4.35x leverage), \$8.0 million in mezzanine notes, and \$38.0 million in total sponsor equity, with the existing founder rolling over \$12.16 million in rollover equity.

Financial Return Model & Sensitivity:

The base underwriting case projects a 5-year exit in FY2029 at an entry-multiple parity (8.9x EV/EBITDA). Revenue is modeled to expand from \$48.5 million to \$76.0 million through market share gains in industrial automation and expansion into medical diagnostics.

Key Model Projections:

- Target Net Revenue CAGR: 9.4%
- Terminal Year EBITDA: \$15.8 million (20.8% margin)
- Gross Internal Rate of Return (IRR): 22.4%
- Multiple on Invested Capital (MOIC): 2.75x

Downside Scenario (200 bps margin contraction, exit at 7.5x EBITDA):

- Projected Gross IRR: 14.1%
- Projected MOIC: 1.92x

Core Risks and Mitigants:

Customer concentration is moderate, with the top three clients generating 34.0% of gross revenue. However, multi-year master service agreements (MSAs) with automatic renewal clauses mitigate contract churn risk. The Investment Committee is requested to authorize final confirmatory accounting and tax due diligence.